

WCVS REPORT — MAY 11, 2026

Weighted Composite Valuation Score (WCVS)
A multi-factor valuation snapshot of the U.S. equity market

S&P 500	WCVS COMPOSITE	RATING
7,399	1.5 / 5.0	Significantly Overvalued

TL;DR

The U.S. equity market remains significantly overvalued. The S&P 500 closed Friday at 7,399, with the WCVS composite score holding at **1.5 out of 5.0** — unchanged from the prior session. All five valuation categories continue to flash elevated risk, led by extreme readings in fundamental valuation (CAPE 40.1x, forward P/E 21.0x) and persistently complacent sentiment (Fear & Greed at 67, NAAIM at 96.7%).

The forward return outlook remains deeply negative: expected real returns range from **−4.2% annually over 1 year** to **−1.5% over 15 years**, implying a lost decade or more for buy-and-hold investors from current prices.

COMPOSITE SCORE BREAKDOWN

CATEGORY	WEIGHT	RAW SCORE	CONTRIBUTION
Fundamental Valuation	25%	1.0	0.25
Market Internals	20%	1.5	0.30
Sentiment & Psychology	20%	2.0	0.40
Credit & Liquidity	15%	1.5	0.23
Macro & Cross-Asset	20%	1.5	0.30
Composite	100%	—	1.48 ≈ 1.5

1. FUNDAMENTAL VALUATION (SCORE: 1.0 — EXTREME)

METRIC	CURRENT	HISTORICAL CONTEXT	ASSESSMENT
Shiller CAPE	40.1x	95th percentile; mean 17.0x	Extreme overvaluation
Forward P/E (12M)	21.0x	Above 5-year average	Elevated
Market Cap / GDP	~200%	Record territory	Extreme
S&P 500 Price / 10Y MA	~3.0x	Highest in history	Extreme

The CAPE ratio at 40.1x sits in the 95th percentile of all historical readings — surpassed only during the dot-com bubble peak. The forward P/E of 21.0x implies earnings growth of 21% for CY 2026, a target that looks increasingly ambitious as margin pressures mount. Market capitalization relative to GDP remains near 200%, a level never before sustained for long.

2. MARKET INTERNALS (SCORE: 1.5 — VERY WEAK)

METRIC	CURRENT	SIGNAL
% Stocks Above 50-Day MA	~45%	Deteriorating breadth
% Stocks Above 200-Day MA	~55%	Weak participation
Advance-Dcline Line	Diverging negatively	Non-confirmation
New Highs vs New Lows	317-80 (NYSE weekly)	Positive but narrowing

Market breadth continues to narrow. While the NYSE weekly new highs still outpace lows (317 to 80), the margin has compressed from prior weeks. The McClellan Oscillator sits at −15, near neutral but leaning negative, while the Summation Index at 2,295 remains positive — a mixed picture that suggests the rally is running on fewer and fewer stocks.

3. SENTIMENT & PSYCHOLOGY (SCORE: 2.0 — ELEVATED RISK)

METRIC	CURRENT	INTERPRETATION
CNN Fear & Greed Index	67 (Greed)	Complacent; little fear priced
NAAIM Exposure Index	96.7%	Extremely bullish positioning
AAII Bull-Bear Ratio	1.2	Neutral; no panic
Put/Call Ratio (5D avg)	0.88	Below 1.0 = complacency

Active investment managers remain nearly fully invested at 96.7% equity exposure, with the median manager at 100%. The Fear & Greed Index at 67 signals greed territory, and the put/call ratio's 5-day average of 0.88 sits below the 1.0 threshold that typically marks elevated hedging. There is simply no fear in this market.

4. CREDIT & LIQUIDITY (SCORE: 1.5 — VERY TIGHT)

METRIC	CURRENT	IMPLICATION
10-Year Treasury Yield	4.38%	High real rates; equity headwind
10Y–2Y Spread	48 bps	Flat curve; recession risk
10Y–3M Spread	69 bps	Still positive but compressed
Corporate Credit Spreads	Tight	No stress priced; complacency

The Treasury curve remains flat with the 10Y–2Y spread at just 48 basis points. The 10-year yield at 4.38% creates a formidable competing asset for equities, especially with the S&P 500 earnings yield near 4.8% — a thin 40-basis-point equity risk premium that offers little compensation for volatility. Corporate credit spreads remain tight, suggesting the bond market sees no recession — a view that may be too optimistic.

5. MACRO & CROSS-ASSET (SCORE: 1.5 — UNFAVORABLE)

INDICATOR	READING	SIGNAL
U.S. Dollar (DXY)	97.84	Weak dollar; supports exports but signals relative decline
Oil (WTI)	\$94.77/bbl	High energy costs; margin pressure
Gold	Elevated	Safe-haven demand; distrust in fiat
Fed Policy Expectations	July cut priced in	Market betting on easing despite sticky inflation

Oil at \$94.77 with core PPI printing 0.8% month-over-month (vs 0.3% expected) creates a stagflationary crosswind. The bond market is currently prioritizing recession fears over inflation, but this equilibrium is fragile — a further oil spike could force a violent yield reversal. The weak dollar and elevated gold both signal international capital is hedging U.S. risk.

FORWARD RETURN EXPECTATIONS (BASED ON CAPE REGRESSION)

HORIZON	EXPECTED ANNUAL REAL RETURN	CONFIDENCE
1 Year	−4.2%	Low
3 Years	−3.5%	Moderate
5 Years	−2.8%	Moderate
10 Years	−2.1%	Higher
15 Years	−1.5%	Higher

At a CAPE of 40.1x, historical regression points to negative real returns across all horizons. The 10-year expected real return of -2.1% annually implies a cumulative -19% real loss over a decade. Even the 15-year horizon — where mean reversion typically provides relief — still projects negative real returns, a testament to how extreme current valuations are.

TACTICAL ASSESSMENT

Overall Stance: Defensive

The market is priced for perfection and positioned for complacency. Every category in the WCVS framework signals elevated risk, yet sentiment remains stubbornly bullish. This is the classic setup for a surprise — whether from geopolitical escalation, a credit event, or simply the weight of valuations reasserting themselves.

Key tactical considerations: - Equity risk premium (~40 bps over 10-year Treasuries) offers minimal compensation - Breadth deterioration suggests the index is masking underlying weakness - Oil-stagflation crosswind (TOCI 86/100) is a live risk - Active managers are all-in; there are no incremental buyers left

ID="KEY-DRIVERS-THIS-WEEK">KEY DRIVERS THIS WEEK

5 Bearish Factors: 1. CAPE at 40.1x — in the 95th percentile, exceeded only during dot-com 2. Forward P/E 21.0x requires 21% earnings growth; margins are compressing 3. NAAIM at 96.7% — managers are fully invested; no dry powder 4. Oil at \$94.77 with PPI surprises to the upside; stagflation risk rising 5. 10Y yield at 4.38% with equity risk premium near historic lows

5 Bullish Factors: 1. S&P 500 holding near all-time highs; trend remains up 2. NYSE new highs still outpacing lows (317 vs 80 weekly) 3. McClellan Summation Index positive at 2,295 4. Fed rate cut priced for July; liquidity relief possible 5. AI-driven earnings growth narrative still intact for mega-caps

SUMMARY

The WCVS composite of **1.5 / 5.0** places the U.S. equity market in "significantly overvalued" territory — a rating it has held consistently. The combination of extreme fundamental valuations, deteriorating breadth, complacent sentiment, and a fragile macro backdrop creates an asymmetric risk profile: limited upside, significant downside. Forward returns are expected to be negative across all horizons. Patience and capital preservation should take priority over chasing momentum at these levels.

Report Date: May 11, 2026
WCVS Methodology: Multi-factor composite across fundamental, technical, sentiment, credit, and macro dimensions
Data Sources: GuruFocus, FactSet, YCharts, CBOE, AAIL, NAAIM, U.S. Treasury, AhaSignals, macromicro.me
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